

		sanctions on this combined motion (<i>PCLM, supra</i>, 22 Cal. 4th at 1096): (\$375/hr. x 2 hrs.) / 6 motions + \$60 fee = \$125.60 Camp is ordered to serve objection-free responses to the RFP and pay monetary sanctions within 15-days of written notice of the ruling. 3) RFA Plaintiff's unopposed Motion to Deem Camp's Responses to RFA as Admitted is GRANTED. Plaintiff served RFA on Camp. (Tabor Decl. ¶ 2, Ex. 1.) Camp failed to serve any responses to the RFA by the date the motion was filed. (Tabor Decl. ¶ 4.) The responses are therefore late, and Camp has waived any objections thereto. (Civ. Proc. Code § 2033.280(a).) Plaintiff's motion to deem that RFA as admitted is also proper. (Civ. Proc. Code § 2033.280(b).) Plaintiff also requests monetary sanctions against Camp which are permissible. (Civ. Proc. Code §§ 2023.030 and 2033.280(c).) This RFA motion is largely identical to the RFA motion against Camp and the court will therefore award a lower than requested amount divided between this RFA motion and Camp's RFA motion. The court will award the following reduced monetary award on each of these motions (<i>PCLM, supra</i>, 22 Cal. 4th at 1096): (\$375/hr. x 1.6 hrs.) / 2 motions + \$60 fee = \$360 The court hereby deems Camp's responses to the RFA as admitted. Monetary sanctions on this motion are also due within 15-days of written notice of the ruling. Plaintiff to give notice.
7	Sullivan v. Strathspey Crown Holdings Group, LLC	Before the Court is a motion to enforce stay pending appeal or, in the alternative, impose a stay pending appeal filed by defendants Strathspey Crown Holdings Group, LLC, Strathspey Crown Holdings, LLC, Robert Grant, and Vikram Malik (collectively, "Defendants"). For the reasons set forth below, the motion is DENIED. "[A]rbitration-related proceedings in California courts are governed by the CAA's procedural rules unless their application is preempted or the parties have expressly agreed that the FAA's procedural rules apply. [Citation.]" (<i>Quach v. California Commerce Club, Inc.</i> (2024) 16 Cal.5th 562, 576.) While the substantive provisions of the FAA apply when a contract involves interstate commerce, "[t]he procedural provisions of the CAA [the California Arbitration Act] apply in <i>California</i> courts by default.... [T]he parties may <i>expressly</i> designate that any arbitration proceeding [may] move forward under the FAA's procedural provisions rather than under state procedural law." [Citation.] Absent such an express designation, however, the FAA's procedural provisions do not apply in state

court.’ [Citations.]” (*Nixon v. AmeriHome Mortgage Company, LLC* (2021) 67 Cal.App.5th 934, 945.)

“The FAA contains no express pre-emptive provision, nor does it reflect a congressional intent to occupy the entire field of arbitration.” (*Volt Info. Scis., Inc. v. Bd. of Trustees of Leland Stanford Junior Univ.* (1989) 489 U.S. 468, 477.) The United States Supreme Court in *Volt* stated that the FAA’s primary purpose is “ensuring that private agreements to arbitrate are enforced according to their terms,” and when “the parties have agreed to abide by state rules of arbitration, enforcing those rules according to the terms of the agreement is fully consistent with the goals of the FAA.” (*Id.* at 479.)

SB 365, enacted in 2023, amended California Code of Civil Procedure section 1294 to no longer mandate an automatic stay during the pendency of an appeal of a motion to compel arbitration. Code of Civil Procedure section 1294 now provides the following: “An aggrieved party may appeal from: (a) An order dismissing or denying a petition to compel arbitration. Notwithstanding Section 916, the perfecting of such an appeal shall not automatically stay any proceedings in the trial court during the pendency of the appeal.” (Code Civ. Proc., § 1294(a).)

Here, the arbitration agreement at issue expressly states, “Any arbitration proceeding pursuant to this Agreement shall be determined pursuant to the laws of the State of California.” (Agreement, Section 15.12(c).) This appears to the Court to reflect an intent by the parties that California procedural law would apply.

As Defendants acknowledge, the arbitration agreement at issue makes no reference to the FAA. Defendants also do not provide any evidence that the parties expressly agreed that the FAA’s procedural rules applied. Defendants point out that this Court’s minute order denying their motion to compel arbitration references the FAA. (See ROA 151.) However, the reference to the FAA was a recognition that the FAA’s *substantive* provisions apply when a contract involves interstate commerce, such as the contract at issue. (See ROA 83, Grant Decl., ¶ 2 [demonstrating contract at issue involves interstate commerce].) Because Defendants fail to point to any evidence showing the parties expressly agreed that the FAA’s procedural rules applied, the Court finds the procedural provisions of the CAA, including section 1294, apply to the instant matter. As such, an automatic stay is not mandated.

Coinbase, Inc. v. Bielski (2023) 599 U.S. 736, 747 is inapplicable here because its holding is based on the procedural rules of the FAA, namely, whether, when a party appeals the denial of a motion to compel arbitration pursuant to 9 U.S.C. § 16(a), the district court was required to stay proceedings during the pendency of an interlocutory appeal. (*Coinbase, supra*, 599 U.S. at 740-744; see also, *Muao v. Grosvenor Props.* (2002) 99 Cal.App.4th 1085, 1092, fn. 6 (finding that Section 16 of the FAA was a procedural federal rule, not binding in state court and finding “the legislative history of section 16 of the FAA indicates that Congress intended the

provision to apply only to federal court proceedings.”.) *Coinbase* dealt with federal law and the holding would appear to apply only to federal courts.

Defendants also argue in the Reply that the holding in *Volt* has been limited by the subsequent decisions in *Mastrobuono v. Shearson Lehman Hutton*, 514 U.S. 52 (1995) and *Preston v. Ferrer*, 552 U.S. 346 (2008). Those cases are distinguishable as neither involved a provision, such as the one in the instant matter, that specifically states that any *arbitration proceeding* shall be determined pursuant to state law. Moreover, neither case dealt with a stay pending appeal of denial of a motion to compel arbitration. Additionally, the cases left intact the holding in *Volt* that when “the parties have agreed to abide by state rules of arbitration, enforcing those rules according to the terms of the agreement is fully consistent with the goals of the FAA.” (*Volt* at 479.)

Because the agreement here shows the parties agreed to apply California arbitration rules, the FAA’s procedural rules do not apply. The Court thus need not reach the issue of whether the FAA preempts section 1294(a).

The Court also finds a discretionary stay is not warranted. Code of Civil Procedure section 1294 gives courts the discretion to grant or deny a stay pending appeal. SB 365 was designed to “promote judicial efficiency by reducing the number of meritless appeals that are filed only to delay litigation.” (See California Bill Analysis, S.B. 365 Sen., 7/12/2023.) However, the legislature also recognized that if a judge denies a stay request, the parties will continue litigating the case and, for cases that are later ordered into arbitration by the appellate court, this “will result in courts and parties expending time and resources that have no impact on the final outcome of the case, straining already limited court resources.” (*Ibid.*)

“Trial courts generally have the inherent power to stay proceedings in the interests of justice and to promote judicial efficiency.” (*Freiberg v. City of Mission Viejo* (1995) 33 Cal.App.4th 1484, 1489.) “[W]hen deciding whether to grant or deny a stay, the court, in its sound discretion, must assess and balance the nature and substantiality of the injustices claimed on either side.” (*Alpha Media Resort Inv. Cases* (2019) 39 Cal.App.5th 1121, 1134 n.10, internal citations and quotations omitted.)

The Court finds the balance of hardships weighs in Plaintiffs’ favor. The potential prejudice to Plaintiffs due to further delay is apparent, as this action has already been pending for almost a year. Defendants failed to identify specific circumstances in this case that would justify a discretionary stay of this action. Although Defendants complain that, without a stay, they will be burdened by having to litigate this action and they will be deprived of the benefit of arbitration, this can be said of any order denying arbitration. In contrast, a stay would unfairly prejudice Plaintiffs’ right to promptly litigate their claims. Based on the foregoing, Defendants have failed to show a discretionary stay is warranted in this matter.